was not at present being managed by the Imperial Bank to commercial banks and cooperative banks.

Purshotamdas attempted to produce by negotiation with the Imperial Bank, a scheme which might secure its cooperation in the promotion of rural banking. As part of this scheme, he and Rama Rau promoted the idea of the Imperial Bank having a non-executive Chairman appointed with government approval. This proposal was supported by A.R. Chisholm and a few other Directors of the Imperial Bank, and approved by both Matthai and his successor, C.D. Deshmukh.

The RBEC in its report submitted in May 1950 observed that although extension of banking during recent years had been considerable, a part of it represented careless and 'even unscrupulous expansion of branches by banks having inadequate financial resources and following unsound methods of working'. The extension was also a lopsided one with heavy concentration in the larger towns and cities.[5]

While admitting that co-operative institutions were the most important agencies for providing rural credit and deserved special attention and assistance, the Committee recommended that the 'Imperial Bank and other commercial banks should be allowed and encouraged to expand up to taluka (or tehsil) towns, *mandis* or market towns, or other towns of some commercial or industrial importance.' In order, however, to introduce an 'element of regionalization', the Committee recommended the establishment of one or two additional LHOs so that the various regional interests were more fully represented on the Local or Central Boards of the Imperial Bank.

The Committee also recommended the conversion of non-bank treasuries into bank treasuries to provide greater opportunities for the rural people to come into contact with banks and enable banks to serve a larger sector of the rural population, particularly the relatively more affluent and thrifty sections represented by the bigger landlords, merchants, and traders. As regards the suggestion that cash work at government treasuries and sub-treasuries could be entrusted to other banks at places where it was not being managed by the Imperial Bank, the Committee opined that a stage had not yet been reached 'at which a change from the general pattern hitherto in force for the conduct of Government business would be in the interest of the country'. It thus recommended that the cash work at treasuries and sub-